SiyaBusa ERP

BUSINESS PLAN 2026

Investor & Partner Documentation

Masaphokati Technologies (Pty) Ltd

Document Version: 1.0

Effective Date: January 2026

Department: Executive

Classification: Confidential

WE RULE. WE GOVERN. WE EMPOWER.

📋 **COMPLETE BUSINESS PLAN**

A comprehensive, bankable business plan covering company overview, market analysis, financial projections, go-to-market strategy, and the path to JSE AltX listing.

Executive Summary

Company Overview

Masaphokati Technologies (Pty) Ltd is a South African technology company developing **SiyaBusa ERP**, a comprehensive cloud-native Enterprise Resource Planning platform purpose-built for African mid-market businesses.

Key Facts

Aspect	Detail
Legal Entity	Masaphokati Technologies (Pty) Ltd
Registration	Registered with CIPC
Product	SiyaBusa ERP - Enterprise Resource Planning System
Stage	Product Complete, Pre-Revenue
Location	South Africa
Target Market	Mid-market businesses (R10M-R500M revenue)
Funding Request	R2,000,000 Seed Round
Long-term Goal	JSE AltX listing by Q2 2029

What We've Built

SiyaBusa ERP is a **fully functional**, production-ready ERP system:

- **25+ Complete Modules** covering all business operations
- **400+ API Endpoints** deployed on AWS infrastructure
- **228+ Database Tables** with proper relationships
- **9 AI-Powered Assistants** for natural language queries
- **6 Industry Verticals** (Healthcare, Mining, Manufacturing, Property, Construction, Professional Services)

- **Native SA Compliance** (SARS, BCEA, POPIA, B-BBEE)

Total Development Investment: Approximately R3.5 million in sweat equity (18 months)

Investment Opportunity

Item	Detail
Amount Requested	R2,000,000
Investment Instrument	Ordinary Shares (Private Placement)
Pre-Money Valuation	R10,000,000
Post-Money Valuation	R12,000,000
Equity Offered	16.67%
Use of Funds	Sales, Marketing, Operations
Exit Strategy	JSE AltX listing (Q2 2029)

Why This Investment Makes Sense

Factor	Evidence
Product Exists	Not a concept — working software deployed on AWS
Market Validated	Competitors charge R50K-R200K/month, proving demand
Gap is Real	60,000+ SA businesses need full ERP but can't afford current options
Path to Liquidity	Clear AltX listing roadmap with defined milestones
Development Complete	No technology risk — we're building customers, not code

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The Problem

The Two-Tier ERP Crisis

South African mid-market businesses face an impossible choice:

Tier 1: Enterprise ERP (SAP, Oracle, Microsoft)

- **Cost:** R50,000 - R200,000+ per month

- **Implementation:** 6-18 months
- **SA Localization:** R500,000 - R2,000,000 additional
- **Reality:** Priced out of reach for mid-market

Tier 2: Basic Accounting Software (Xero, QuickBooks, Sage)

- **Cost:** R500 - R2,000 per month
- **Capabilities:** Accounting only
- **Missing:** Manufacturing, Warehouse, HR, Operations, Compliance
- **Reality:** Businesses outgrow within 2-3 years

The Gap

60,000+ South African businesses with R10M - R500M revenue are stuck:

- Too large for basic accounting software
- Too small (or too cost-conscious) for enterprise ERP
- Forced to cobble together disconnected systems
- Result: Data silos, compliance risk, operational inefficiency

This is our target market.

Market Size

Total Addressable Market (TAM)

Metric	Value	Source
SA Mid-Market Businesses	60,000+	Stats SA Business Register 2024
Revenue Range	R10M - R500M	SARS Company Tax Statistics
Average ERP Spend	R12,000/month	Industry Analysis
TAM (Annual)	R8.64 Billion	Calculated

Serviceable Addressable Market (SAM)

Segment	Businesses	Annual Value
Manufacturing	12,000	R1.73B
Professional Services	15,000	R2.16B
Healthcare	5,000	R720M
Construction	8,000	R1.15B
Other Mid-Market	20,000	R2.88B

Serviceable Obtainable Market (SOM) - 5 Year Target

Year	Customers	ARR	Market Share
2026	25	R1.8M	0.02%
2027	80	R11.5M	0.13%
2028	200	R28.8M	0.33%
2029	400	R57.6M	0.67%
2030	750	R108M	1.25%

Even 1% market share = R86.4M ARR

Our Solution

SiyaBusa ERP Platform

Complete Module Coverage

Category	Modules	Status
Core Operations	Sales/CRM, Purchase, Inventory, Warehouse, Manufacturing	Complete
Finance	GL, Cash Management, Multi-Entity, Treasury, Asset Management	Complete
Human Resources	Payroll (SARS-compliant), Leave, Recruitment, Performance	Complete
Compliance	SARS Sentinel, Audit Ready, POPIA, B-BBEE Tracking	Complete
Industry Verticals	Healthcare, Mining, Manufacturing, Property, Construction, Services	Complete

Technical Architecture

Component	Technology	Status
Backend	Node.js, TypeScript, Express	Production
Frontend	React, TypeScript, Vite	Production
Database	PostgreSQL (AWS RDS)	Production
Cache	Redis	Production
Infrastructure	AWS (EC2, RDS, S3)	Production
AI Layer	Multiple LLM integrations	Production

Competitive Advantages

Factor	Global Vendors	Local Competitors	SiyaBusa
Monthly Cost	R50K-R200K	R20K-R50K	R8K-R25K
SA Compliance	R500K-R2M extra	Partial	Built-in
Implementation	6-12 months	3-6 months	4-8 weeks
AI Assistant	Limited	None	9 specialized agents
Multi-Tenant	Yes	Varies	Native
Industry Verticals	Generic	Limited	6 verticals

Business Model

Market Positioning

We serve the IGNORED middle market — not competing with Xero or SAP.

Segment	Current Options	Problem
Micro/Small	Xero, QuickBooks	Accounting only
Mid-Market (60K+ businesses)	**NOTHING**	**Too big for Xero, priced out of SAP**
Enterprise	SAP, Oracle	R100K-R500K/month

We fill the gap that nobody else serves.

Pricing Philosophy: EVERYTHING INCLUDED

Our competitive advantage is what's bundled by default.

Feature	SAP	Sage	SiyaBusa
SA Payroll	Extra R15K	Extra R8K	**INCLUDED**
SARS Integration	Extra R25K		**INCLUDED**
Audit Tools	Extra R20K		**INCLUDED**
AI Assistants			**INCLUDED**
Video/Chat	Zoom/Slack extra	Zoom/Slack extra	**INCLUDED**

When customers see what's included, the value is undeniable.

Revenue Streams

1. Subscription Revenue (Primary - 85% of revenue)

Platform + Per-User Model — Everything Included

Plan	Platform	Per User	What's Included
Starter	R8,000/mo	R650	Finance, Sales, Purchase, Inventory, SARS Sentinel, 3 AI Agents
Professional	R15,000/mo	R950	+ Manufacturing, Warehouse, Projects, Audit Ready, Comms Hub, 9 AI
Enterprise	R25,000/mo	R1,200	+ Multi-Entity, Assets, Payroll, API, Full Compliance
Corporate	R45,000/mo	R1,500	+ Unlimited, 2 Industry Modules, Dedicated Support

2. Industry Vertical Add-Ons (10% of revenue)

Only industry-specific modules are extra:

Module	Monthly	Target
Healthcare	R4,000	Clinics, practices
Mining	R5,000	Mining companies
Construction	R4,000	Contractors
Property	R3,500	Property managers

3. Implementation Services (5% of revenue)

Package	Price	Duration
QuickStart	R35,000	2 weeks
Standard	R75,000	4-6 weeks
Enterprise	R150,000	6-8 weeks
Data Migration	R25,000 - R100,000	
Custom Integration	R25,000 - R75,000	
Training (per day)	R8,000 - R15,000	

Pricing Examples

Small Business (10 users) — R10,600/month

- Starter Package: R5,000
- Users: R3,100
- SARS Sentinel: R2,500

vs Xero: R800/month but no ERP, no compliance automation

Medium Business (30 users) — R26,000/month

- Professional Package: R12,000
- Users: R8,500
- SARS Sentinel + Audit Ready: R5,500

vs SAP Business One: R80,000-R120,000/month

Enterprise (75 users) — R54,500/month

- Enterprise Package: R25,000

- Users: R18,500
- Full compliance + AI suite: R11,000

vs Oracle NetSuite: R180,000-R250,000/month

Average Revenue Per Customer (ARPC): R18,000/month = R216,000/year

Unit Economics

Metric	Value	Benchmark
Customer Acquisition Cost (CAC)	R45,000	Industry: R30-80K
Lifetime Value (LTV)	R576,000	Based on 4-year retention
LTV:CAC Ratio	12.8:1	Industry target: >3:1
Gross Margin	75%	SaaS average: 70-80%
Net Revenue Retention	110%	Target: >100%
Monthly Churn	<2%	Target
Payback Period	3.75 months	Industry: 12-18 months

Go-to-Market Strategy

Phase 1: Foundation (Q1-Q2 2026)

Objective: Sign first 10 paying customers

Activity	Timeline	Target
Beta Partner Program	Jan-Mar	5-10 partners
Case Study Development	Feb-Mar	3 documented wins
First Paying Customers	Mar-Jun	10 customers
Monthly Recurring Revenue	Jun	R80,000+

Customer Acquisition Strategy

1. **Direct Sales** (60% of new customers)

    - Founder-led sales initially
    - Target: Finance Directors and Operations Managers
    - Focus: Businesses actively searching for ERP alternatives

2. **Partner Channel** (25% of new customers)
    - Accounting firms (refer clients who've outgrown Sage/Xero)
    - IT consultants (implementation partners)
    - Industry associations

3. **Inbound Marketing** (15% of new customers)
    - LinkedIn thought leadership
    - Content marketing (ERP selection guides)
    - Google Ads (high-intent keywords)

Phase 2: Growth (Q3-Q4 2026)

Objective: Reach R150,000 MRR

Activity	Timeline	Target
Sales Team Hire	Jul	2 sales reps
Marketing Scale	Jul-Sep	5x content production
Customer Success	Aug	Dedicated team
Monthly Customers	Dec	25 total

Phase 3: Scale (2027-2028)

Objective: Reach R2.5M MRR, prepare for Series A

Milestone	Timeline	Target
Series A Raise	Q1 2028	R15-25M
Customers	Q4 2027	80
ARR	Q4 2027	R11.5M
Team Size	Q4 2027	25

Phase 4: AltX Preparation (2028-2029)

Objective: JSE AltX listing by Q2 2029

Milestone	Timeline
Appoint Designated Adviser	Q1 2029
Pre-Listing Statement	Q2 2029
Shareholder count (100+)	Q1 2029
Listing	Q2-Q3 2029

Financial Projections

5-Year Revenue Forecast

Year	Customers	MRR (End)	ARR	Growth
2026	25	R150K	R1.8M	-
2027	80	R960K	R11.5M	539%
2028	200	R2.4M	R28.8M	150%
2029	400	R4.8M	R57.6M	100%
2030	750	R9M	R108M	88%

Profit & Loss Projection (Simplified)

Year	Revenue	Gross Margin	Operating Costs	EBITDA	Margin
2026	R1.8M	R1.35M (75%)	R2.4M	-R1.05M	-58%
2027	R11.5M	R8.6M	R7.5M	R1.1M	10%
2028	R28.8M	R21.6M	R17.3M	R4.3M	15%
2029	R57.6M	R43.2M	R31.7M	R11.5M	20%
2030	R108M	R81M	R54M	R27M	25%

Use of Funds (R2,000,000 Seed)

Category	Amount	%	Purpose
Sales & Marketing	R800,000	40%	Customer acquisition, brand building
Team Expansion	R600,000	30%	Sales, customer success, support
Operations	R300,000	15%	AWS, tools, office, legal
Product Enhancement	R200,000	10%	Features, integrations, UX
Working Capital	R100,000	5%	Reserve for opportunities
Total	**R2,000,000**	**100%**	

Key Financial Metrics at AltX Listing (Q2 2029)

Metric	Target
ARR	R50-60M
Customers	350-400
Gross Margin	>75%
EBITDA Margin	15-20%
Net Revenue Retention	>110%
Employee Count	50-75

Path to JSE AltX Listing

Why AltX?

The JSE AltX (Alternative Exchange) is designed for small and medium-sized companies seeking to raise capital and gain the benefits of a public listing without the full requirements of the Main Board.

AltX Requirements vs Our Status

Requirement	AltX Minimum	Our Target
Share Capital	R2,000,000	R12,000,000+
Shareholders	100	150+
Public Float	10%	15-20%
Designated Adviser	Required	Will appoint Q1 2029
Audited Financials	3 years	2026, 2027, 2028
Profit History	Not required	Profitable by 2028

Listing Timeline

Phase	Timeline	Activities
Preparation	Q3 2028	Corporate governance upgrade, King IV alignment
Adviser	Q4 2028	Appoint Designated Adviser
Documentation	Q1 2029	Pre-Listing Statement preparation
Shareholder Build	Q1-Q2 2029	Private placement to reach 100+ shareholders
JSE Application	Q2 2029	Submit listing application
Listing	Q2-Q3 2029	Trading commences

Benefits of Listing

1. **Liquidity for Early Investors** - Clear exit mechanism
2. **Growth Capital** - Ability to raise funds on public markets
3. **Credibility** - Listed company status builds customer trust
4. **Employee Incentives** - Share options become more valuable
5. **Acquisition Currency** - Listed shares for M&A

Team

Current Team

Role	Name	Background
Founder & CEO	[Founder Name]	ERP expertise, vision, product development

Hiring Plan (Post-Seed)

Role	Timeline	Salary Range
Sales Representative (2)	Q2 2026	R40-60K/month each
Customer Success Manager	Q3 2026	R35-50K/month
Marketing Manager	Q3 2026	R40-55K/month
Support Engineer	Q4 2026	R30-45K/month

Advisory Board (Planned)

Role	Profile	Purpose
Financial Advisor	CA(SA) with tech experience	Audit preparation, financial governance
Industry Advisor	Manufacturing sector executive	Customer introductions, product feedback
Technology Advisor	Enterprise software veteran	Architecture review, scaling guidance

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Risk Factors

Market Risks

Risk	Mitigation
Slow Adoption	Beta program creates dependency; locked-in reference customers
Price Pressure	Value-based selling; focus on ROI, not features
Economic Downturn	ERP is essential infrastructure; recession-resistant

Competitive Risks

Risk	Mitigation
Large Vendor Response	Mid-market not profitable for SAP/Oracle at our price point
New Entrants	18-month head start; compliance moat
Local Competitors	Superior feature set; modern architecture

Operational Risks

Risk	Mitigation
Key Person Dependency	Document everything; build team early
Technical Debt	Modern architecture; clean codebase
Customer Concentration	Diversify across industries from start

Financial Risks

Risk	Mitigation
Runway Exhaustion	Conservative burn rate; clear milestones for Series A
Long Sales Cycles	Target businesses in active buying mode
Collection Risk	Monthly billing; upfront implementation fees

Investment Terms

Summary Terms

Term	Detail
Investment Amount	R2,000,000
Security Type	Ordinary Shares
Pre-Money Valuation	R10,000,000
Post-Money Valuation	R12,000,000
Equity Issued	16.67%
Minimum Investment	R100,000
Board Representation	Observer seat for investors >5%

Investor Rights

Right	Detail
Information Rights	Quarterly financial updates, annual audited statements
Pro-Rata Rights	Right to maintain ownership % in future rounds
Anti-Dilution	Weighted-average anti-dilution protection
Tag-Along	Right to sell alongside founders in any exit
Liquidation Preference	1x non-participating

Use of Proceeds Covenant

Management commits to deploying funds as follows:

- Maximum 40% on any single category
- Minimum 12 months operating runway
- Monthly financial reporting to investors

Exit Strategy

Primary Exit: JSE AltX IPO (Target Q2 2029)

Scenario	ARR at Listing	Valuation (5x ARR)	Seed Investor Return
Base Case	R50M	R250M	3.4x (R6.8M for R2M)
Upside Case	R75M	R375M	5.2x (R10.4M)
Downside Case	R30M	R150M	2.0x (R4.1M)

Secondary Exits

Exit Type	Likelihood	Timeline
Trade Sale (Acquisition)	Medium	3-5 years
Management Buyout	Low	4-7 years
Secondary Sale	Medium	2-4 years

Potential Acquirers

Type	Examples	Strategic Rationale
Global ERP Vendors	Tier 2 players	SA market entry with built-in compliance
African Tech Companies	Regional players	Expand enterprise offering
Private Equity	Tech-focused PE	Consolidation play
Accounting Firms	Big 4, mid-tier	Vertical integration

Appendices

Appendix A: Product Screenshots

[Available upon request - Live demo preferred]

Appendix B: Technical Architecture Diagram

[Available upon request]

Appendix C: Customer Interview Summaries

[In progress - Beta program Q1 2026]

Appendix D: Detailed Financial Model

[Available upon request - Excel spreadsheet]

Appendix E: CIPC Registration Documents

[Available upon request]

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